

CONCURRENCE IN SENATE AMENDMENTS

AB 2801 (Friedman)

As Amended August 23, 2024

Majority vote

SUMMARY

Strengthens security deposit law by adopting certain guardrails.

- 1) Establishes that a landlord may claim against the security deposit only the amounts that are reasonably necessary, as provided.
- 2) Establishes that claims against the tenant or the security deposit for work performed by a contractor, the landlord, or the landlord's employee must be limited to a reasonable amount necessary to restore the premises back to the condition it was in at the inception of the tenancy, exclusive of ordinary wear and tear.
- 3) Establishes that claims against the tenant or the security deposit for material or supplies must be limited to a reasonable amount necessary to restore the premises back to the condition it was in at the inception of the tenancy, exclusive of ordinary wear and tear.
- 4) Prohibits a landlord from requiring a tenant to pay for, or assert a claim against the tenant or the security for, professional carpet cleaning or other professional cleaning services, unless reasonably necessary to return the premises to the condition it was in at the inception of tenancy, exclusive of ordinary wear and tear.
- 5) Replaces the term "may not" with "shall not" in the provisions related to security deposit limits.
- 6) Establishes that if an initial inspection is conducted, as provided, and at the time of the inspection the premises do not contain tenant possessions that prevent the landlord from identifying repairs or cleanings due to the presence of those possessions, the landlord is prohibited from using the security for items unidentified in the itemized statement based on the initial inspection, as required.
- 7) Provides that a landlord may still use the security deposit for allowable deductions, as provided, that occur between completion of the initial inspection and when possession of the unit returned to the landlord.
- 8) Provides that a landlord may still use the security deposit for allowable deductions, as provided, not identified during the initial inspection due to the presence of the tenant's possessions.
- 9) Establishes that the initial inspection requirements, as provided, do not apply when a tenancy is terminated because the tenant is guilty of unlawful detainer, as provided.
- 10) Establishes that for tenancies that begin on or after July 1, 2025, the landlord is required to take photographs of the unit immediately before or at the inception of the tenancy.

- 11) Establishes that beginning on April 1, 2025, the landlord must take photographs of the unit within a reasonable time after the possession of the unit is returned to the landlord, but prior to any repairs or cleanings for which the landlord will make a deduction from or claim against the security deposit, as permitted.
- 12) Establishes that beginning on April 1, 2025, the landlord must take photographs of the unit within a reasonable time after any repairs or cleanings for which the landlord is making a deduction or claim against the security deposit are completed.
- 13) Establishes that if a deduction is made for repairs or cleanings, as permitted, the landlord must provide photographs, as provided, along with a written explanation of the cost of the allowable repairs or cleanings.
- 14) Provides that the landlord may provide the photographs required in 13) to the tenant by mail, email, computer flash drive, or by providing a link where the tenant may view the photographs online.
- 15) Establishes that a landlord is not entitled to claim any amount of the security, if in bad faith, they fail to comply with the requirements regarding return of the security deposit.
- 16) Makes chaptering amendments to resolve conflicts with SB 611.

Senate Amendments

Make chaptering amendments to resolve conflicts with SB 611.

COMMENTS

Renting in California. Almost 17 million people rent their homes in California, amounting to 44% of the state's population. (California Budget and Policy Center, *California's 17 Million Renters Face Housing Instability and Inequity Before and After COVID-19* (Jan. 2021).) Many of these renters are cost-burdened. As of 2020, over 52% of renter households paid more than 30% of their total income in rent, and 27% were severely cost-burdened, paying more than 50% of their income in rent. (California Housing Partnership, *California Affordable Housing Needs Report 2021* (March 2021).) Black households are nearly 50% more likely to be severely cost-burdened than white households. (*Ibid.*)

Existing law provides tenants with certain rights regarding the return of their security deposit at the end of their lease. Civil Code Section 1950.5(e)-(g) outlines the process and requirements for landlords to return the security deposit to tenants.

Initial inspection process. A tenant may request an "initial inspection" before they move out of their rental. The initial inspection process aims to document the conditions prior to the tenant vacating the premises, and in order to know ahead of time what repairs, if any, are necessary. During the "initial inspection" the landlord or the landlord's agent identifies defects or conditions that might justify deductions from the screening deposit. The tenant has the right to be present during the inspection. Based on the findings of that inspection, the landlord or agent must prepare an itemized statement of repairs or cleaning that the landlord or agent believes the tenant should perform in order to avoid deductions from the tenant's security deposit. The landlord cannot, for example, use the security deposit to repair damages or correct defects in the rental that existed before the tenant moved in, or that are the result of ordinary wear and tear. After the

initial inspection, the tenant may make the repairs or do the cleaning described in the itemized statement as allowed by the rental agreement, to avoid deductions from the deposit.

Final inspection process. The landlord may perform a final inspection after the tenant has moved out of the rental. The landlord may make a deduction from the tenant's security deposit to repair damages to the unit, exclusive of ordinary wear and tear, or perform cleaning necessary to return the unit to the same level of cleanliness it was in at the beginning of the tenancy, in the following instances:

- 1) Where the damage/condition was identified in the itemized statement and the tenant did not repair or correct; or
- 2) Where the damage/condition occurred after the initial inspection; or
- 3) The damage/condition was not identified during the initial inspection process due to the presence of the tenant's possessions.

Landlord's obligations at end of tenancy. Within 21 days after the tenant vacates the property, the landlord must return the full security deposit to the tenant. Or, if the landlord has deducted from the deposit, within the same 21-day period, they must return any remaining amount along with written notice of their withholding. This notice must include an itemized statement explaining the deductions, along with receipts or invoices for any repairs or cleaning expenses, including any labor and materials.

This bill strengthens landlord-tenant law regarding security deposits and the inspection process in two keys ways.

- 1) *Permissible charges.* Amends existing law, which allows for claims for materials and supplies limited to "an amount necessary to make reasonable replacements" by requiring that claims for materials, supplies, and labor be limited to "a reasonable amount necessary to restore the premises back to the condition it was in at the inception of the tenancy, exclusive of ordinary wear and tear." This change is intended to prevent landlords from subsidizing improvements to their rental unit with their prior tenant's security deposit. The measure also prohibits the inclusion of professional carpet cleaning and other professional carpet cleaning service, which has become more commonplace in many leases, unless "reasonably necessary to return the premises to the condition it was in at the inception of the tenancy, exclusive of ordinary wear and tear."
- 2) *Photograph requirement.* This measure requires landlords in all leases beginning on or after July 1, 2025 to also take photographs immediately before or at the inception of the tenancy. And starting April 1, 2025, all landlords will be required to take photographs of the unit after the tenant moves out, but before repairs or cleanings, which the landlord intends to deduct from the security deposit, are performed. The landlord is then required to take photographs of the unit after the repairs/cleaning are completed. If the landlord does intend to deduct for damages/cleaning, they must provide photographs to the tenant in addition to the itemized statement. This photograph requirement is meant to minimize disputes over charges, and provide documentary evidence in the event a dispute over deductions does arise.

According to the Author

For many renters, especially those from lower income backgrounds, affording a security deposit entails a great deal of sacrifice. By creating a burden of evidence on the part of the landlord we are giving tenants, especially our most vulnerable, another tool in the toolbox to protect themselves against egregious claims of their hard earned money.

Arguments in Support

East Bay for Everyone supports this measure:

According to the Federal Reserve's Survey of Consumer Finances, the bottom quartile of American households (most of whom are renters) had a median net worth of under \$3,500 in 2022. As such, just one month's security deposit can be a major factor for millions of households' financial stability, but landlords often use and spend these funds in unaccountable ways. [This bill] would put more guardrails around landlords' use of funds, to ensure landlords do not use them for normal wear and tear or property improvements, and would increase potential civil damages for violating. Renters have far less negotiating power than landlords as only one side at the table has their shelter at stake, which is a kind of market failure: therefore regulation is needed to make the contractual relationship fair and even.

UC San Diego Housing Commission also writes in support:

[This bill] will address the concerns of student renters while also preserving the landlord's right to repair any damages caused by the tenant with the security deposit. Existing law limits the landlord's claim of a security deposit to only those amounts as are reasonably necessary for the repair of damages to the premises, exclusive of ordinary wear and tear, to return the unit to the same level of cleanliness it was in at the inception of the tenancy. Under the current system, however, landlords are able to overcharge tenants to subsidize upgrades to the unit after the termination of the tenancy. Bad-faith retentions like this reduce the accessibility of housing, as many renters depend on the return of their security deposit to cover the costs associated with moving to another unit.

By requiring any deductions from the security deposit to be justified with photo evidence and preventing landlords from making additional claims on a deposit after a valid initial inspection is conducted, [this bill] will help protect the security deposits of tenants and close existing loopholes that allow landlords to violate the intention of the law.

Arguments in Opposition

A coalition of regional apartment associations, including the East Bay Rental Housing Association, oppose the introduced version of the bill:

AB 2801 proposes to limit the use of a security deposit to material and supplies necessary to make reasonable replacement or repairs and prohibits the use of professional cleaning services, including carpet cleaning. AB 2801 also leaves a gap of time between a pre-move out inspection and when tenants fully vacates the dwelling that exposes property owners or their agents to liability for damage caused by tenants and prohibiting recovery from tenants.

AB 2801 is an attempt to redefine the definition of a "security deposit" by severely limiting the ways in which a property owner may provide a clean and sanitary unit to a subsequent

tenant following damage caused by a former tenant without violating California State Habitability Laws.

FISCAL COMMENTS

None.

VOTES:

ASM JUDICIARY: 9-3-0

YES: Kalra, Bauer-Kahan, Bryan, Connolly, Haney, Maienschein, McKinnor, Pacheco, Reyes

NO: Dixon, Essayli, Sanchez

ASSEMBLY FLOOR: 54-14-12

YES: Addis, Aguiar-Curry, Alvarez, Arambula, Bennett, Berman, Boerner, Bonta, Bryan, Calderon, Juan Carrillo, Wendy Carrillo, Cervantes, Connolly, Mike Fong, Friedman, Gabriel, Garcia, Gipson, Haney, Hart, Holden, Irwin, Jackson, Jones-Sawyer, Kalra, Lee, Low, Lowenthal, Maienschein, McCarty, McKinnor, Muratsuchi, Stephanie Nguyen, Ortega, Pacheco, Papan, Pellerin, Rendon, Reyes, Luz Rivas, Blanca Rubio, Santiago, Schiavo, Soria, Ting, Villapudua, Ward, Weber, Wicks, Wilson, Wood, Zbur, Robert Rivas

NO: Bains, Chen, Davies, Dixon, Essayli, Flora, Vince Fong, Gallagher, Hoover, Lackey, Jim Patterson, Joe Patterson, Sanchez, Ta

ABS, ABST OR NV: Alanis, Bauer-Kahan, Megan Dahle, Grayson, Mathis, Petrie-Norris, Quirk-Silva, Ramos, Rodriguez, Valencia, Waldron, Wallis

SENATE FLOOR: 25-10-5

YES: Allen, Ashby, Atkins, Becker, Bradford, Caballero, Cortese, Dodd, Durazo, Eggman, Gonzalez, Hurtado, Laird, Limón, McGuire, Menjivar, Padilla, Roth, Rubio, Skinner, Smallwood-Cuevas, Stern, Umberg, Wahab, Wiener

NO: Alvarado-Gil, Dahle, Grove, Jones, Min, Nguyen, Niello, Ochoa Bogh, Seyarto, Wilk

ABS, ABST OR NV: Archuleta, Blakespear, Glazer, Newman, Portantino

UPDATED

VERSION: August 23, 2024

CONSULTANT: Shiran Zohar / JUD. / (916) 319-2334

FN: 0004616